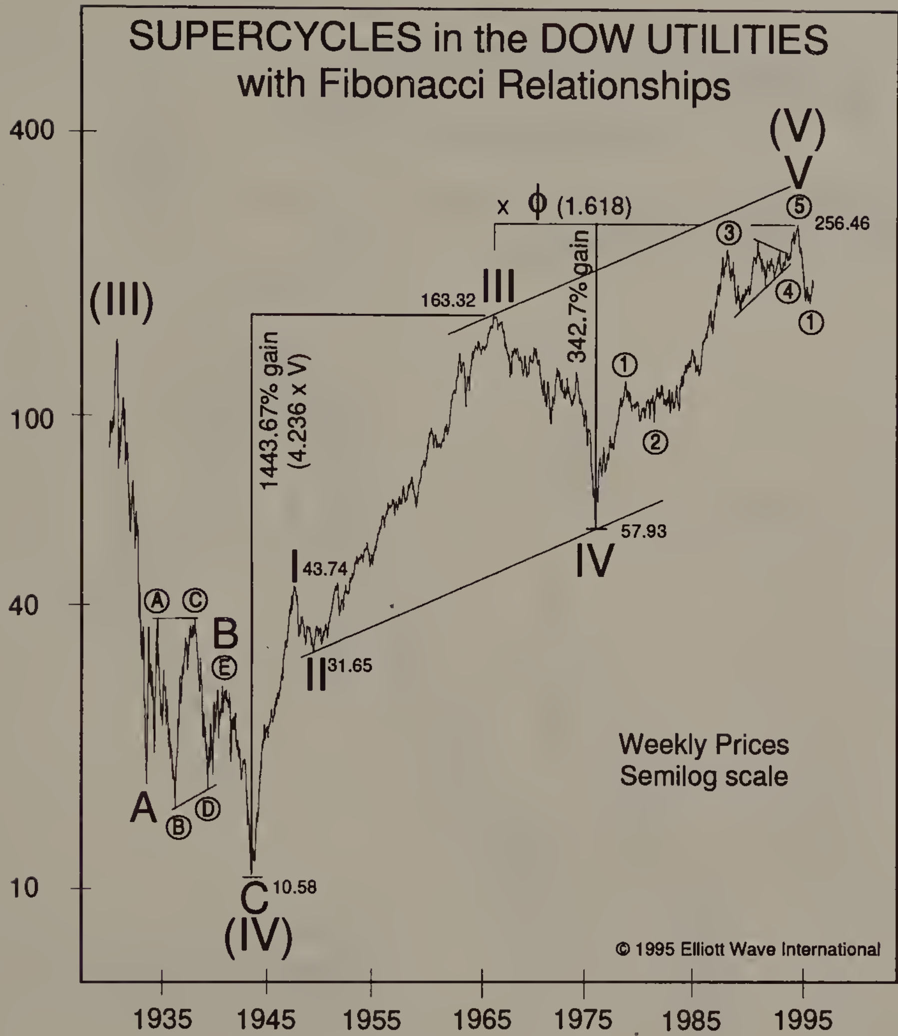

Figure 7-5

Though observers today are nearly unanimous in identifying utility stocks as bargains because they fell "so much" into last year's low, the unmistakable five-wave pattern of the decline labeled wave ①, as detailed in Figure 7-7, confirms the start of a major bear market in utility stocks. Wave ② is now carrying the average back upward. Its minimum upside target range is a .382 retracement of wave ①. While wave ② may take a bit more time or rally further, it is in the process of creating the classic setup for a downside acceleration in wave ③, exactly as bonds are doing, as will be shown in